

Chapter 1: The Black Swan. A black swan event is highly improbable, carries massive impact, and is retrospo

Narrative fallacy: we construct stories to explain the past, obscuring silent evidence and hidden failures.

Mediocristan vs Extremistan: Gaussian domains vs domains dominated by extreme outliers.

Problem of induction: past observations cannot guarantee future outcomes; turkey problem illustrates surprise

Silent evidence: survivorship bias hides the graveyard of failed ventures and unseen risks.

Taleb criticizes Gaussian models in finance and argues for robustness to model error.

Fourth quadrant: high uncertainty and large consequences require humility and optionality.

Epistemic arrogance: experts overestimate predictive power in complex adaptive systems.